

The office of records at a university has stated that the proportion of incoming female students who major in business has increased. A sample of female students taken several years ago is compared with a sample of female students this year. Results are summarized below. Has the proportion increased significantly? Test at $\alpha = 0.10$.

Step 1:

Null hypothesis (H0): $p_2 = p_1$

Alternative hypothesis (H1): $p_2 > p_1$

Where:

- $p_1 = 50/250 = 0.20$
- $p_2 = 90/300 = 0.30$

Step 2:

$$p_{\text{pool}} = (x_1 + x_2) / (n_1 + n_2) = (50 + 90) / (250 + 300) = 140 / 550 \approx 0.2545$$

Standard error of the difference:

- $SE = \sqrt{[p_{\text{pool}} * (1 - p_{\text{pool}}) * (1/n_1 + 1/n_2)]}$
- $SE \approx \sqrt{[0.2545 * 0.7455 * (1/250 + 1/300)]}$
- $SE \approx 0.037$

Z-score:

- $Z = (p_2 - p_1) / SE \approx (0.30 - 0.20) / 0.037 \approx 2.70$

P-value:

- For $Z \approx 2.70$, the p-value for the one-sided test is approximately 0.0035, which is less than $\alpha = 0.10$.

Step 3:

Conclusion

Since the p-value is less than 0.10, we reject the null hypothesis and conclude that there is a statistically significant increase in the proportion of female students majoring in business at the 10% significance level.